

TO EVERY RULE, THERE ARE EXCEPTIONS... BUT NOT MANY

Have I ever sold stock because of this three-year rule and then later wished I had not made this sale because of a subsequent major rise in the stock? Actually, there have only been a relatively small number of times when I have made a sale triggered by this three-year rule and nothing else. This is not because there have been so few times that purchases made by me have failed to provide the major rise which was my purpose in initiating them. In the majority of such cases, further insights about the company opened up as I continued to investigate additional aspects of the situation, and these insights caused me to change my views about it. However, in those relatively few cases where it was the three-year rule and only that which caused me to sell, I can-not recall a single case where subsequent market action caused me to wish I had held on to the shares.

Have I ever violated my own three-year rule? The answer is yes, exactly once, and this was many years later, toward the middle of the 1970's. Three years before, I had acquired a moderately substantial block of shares in the Rogers Corporation. Rogers had expertise in certain areas of polymer chemistry, and I believed they were on the way to developing various semiproprietary families of products which would show quite dramatic increase in sales and not just for a year or two, but for many years. Yet, at the end of three years the stock was down, and so were the earnings of the company. Several influences were at work, however, which made me feel this was one time to ignore my own standards and to make this "the exception that proves the rule." One of these influences was my strong feeling about Norman Greenman, the company's president. I was convinced he had unusual ability, the determination to see these matters through, as well as something else which I consider of great value to an intelligent investor: the kind of honesty that caused him not to conceal repeated bad news that could not fail but be embarrassing for him to tell. He saw to it that those interested in his company understood all the unfavorable aspects of what was happening, as well as the favorable potentials.